ACTION PLAYBOOK / 02

Retention & Promotional Sunset

Named cohorts, measurable triggers, a staged rollout and explicit commercial trade-offs.

Pilot: established promo-exposed, satisfied high-value-proxy customers

Exact trigger: previous_purchases>=26; annual_orders_proxy>=12; annual_spend_proxy_usd>=1924; current promo flag=1; review_rating>=4. All conditions must hold. Current cohort: 74 customers; recorded cohort sales: $5,356. Current promo use alone does not identify dependency.

When / owner	Action	Gate / trade-off
Weeks 0-2 / CRM + data	Verify eligibility and current offer depth; log random assignment, offer exposure, net sales, costs, returns and dates. Freeze the cohort.	No live reduction without baseline offer/cost data. Risk: delayed launch; benefit: measurable economics.
Weeks 3-6 / CRM	Randomly split 37/37: control retains current eligible offer; treatment reduces discount by 5 percentage points (e.g., 15% to 10%). Honor existing entitlements.	Keep assignment persistent, stratify by cadence and tier value. Risk: short-term volume loss / offer dissatisfaction.
Weeks 7-12 / analytics	Keep randomized groups; monitor contribution/customer and 90-day revenue/customer, conversion, returns and complaints.	Use the 74-customer pilot for feasibility. Do not call a nonsignificant result safe.
Week 13+ / growth + finance	Accrue newly eligible customers under the same rules; reduce another 5 points only when the agreed evidence gate passes. Repeat until zero discount.	Retain a holdout. Pause or revert if revenue/customer breaches the 5% business guardrail or service metrics deteriorate.

Primary outcome: 90-day contribution per randomized eligible customer, including non-buyers as zero, net of returns, COGS, variable fulfillment and discount. Co-primary sales guardrail: revenue per eligible customer; never compare only converters. Track both intent-to-treat effects and confidence intervals.

Economics, power and segment treatment

Evidence gate and honest power

For expansion, pre-register a one-sided revenue non-inferiority margin of -5% and require its 95% lower confidence bound above that margin, alongside positive contribution evidence. Estimate the necessary sample from measured revenue variance; this dataset has no 90-day outcome variance. A diagnostic 30% repurchase baseline and 10-percentage-point detectable difference require about 330 customers per arm (two-sided 5%, 80% power). This is illustrative and does not power the revenue guardrail.

With only 37 per arm, the pilot can detect only very large differences (roughly 30 percentage points in that binary example). It cannot demonstrate that a 5% revenue loss is excluded. Newly eligible customers must accrue prospectively; do not broaden the cohort after seeing results just to obtain significance.

Margin illustration and trade-off

At assumed 15% baseline discount and 60% COGS/list value, full removal across the current cohort at unchanged volume yields +$945 illustrative gross profit. With 10% volume loss it yields +$693 GP and +$315 revenue; with 20% volume loss it yields +$441 GP but -$315 revenue. No result is an actual measured saving. Full removal differs from the initial 5-point test.

Segment / trigger	Offer strategy	Risk / tracking
Established full price: A=1, promo=0	Maintain product/service benefits; do not introduce an automatic cash discount.	Missed conversion opportunities; monitor repeat purchases and contribution with holdout.
Established promo exposed: A=1, promo=1	Only satisfied High-tier customers enter initial sunset pilot; other customers remain under observation.	Offer removal may reduce orders; randomized guardrails determine scale.
Developing full price: A=0, promo=0	Test fit guidance, relevant cross-sell and reminders before incentives.	Extra messages may annoy; track conversion, unsubscribes and incremental contribution.
Developing promo exposed: A=0, promo=1	Test targeted, smaller incentives versus current offer; do not call them one-time bargain hunters.	Discount leakage and lower volume; track incremental contribution, not redemption alone.

Ideal customer profile and acquisition brief

Seed definition: High value tier + loyalty A + satisfied + current full-price observation. Size: 103 customers. Weekly/two-weekly shoppers with 26+ past orders, strong recorded order size/cadence proxy and rating>=4 are the operational target.

Signal	What the sample says	Marketing action / risk
Category	Clothing 45/103; footwear 24/103	Test quality-led footwear creative and clothing cross-sell; category-level future value is unproven.
Age	25-34 is 25/103; 45-54 is 22/103	Keep broad adult targeting; small differences can overfit.
Payments	Credit card 25/103; bank transfer 20/103	Reduce checkout friction across methods; do not gate acquisition on payment.
Geography	Screen leaders: Arizona, Alaska, Tennessee	Start matched-spend tests in Arizona/Tennessee; separate Alaska shipping economics.
Gender	56 female, 47 male	Avoid gender exclusions; the full-price rule interacts with the zero-promo female data.

Next 90 days

CRM owns persistent customer assignment and eligibility. Finance supplies net revenue, COGS, returns and fulfillment cost. Analytics publishes weekly intent-to-treat outcomes with intervals and checks assignment balance; growth owns equally budgeted creative/geo tests. The founder approves scale only after the pre-agreed evidence gate.

Acquisition experiment

Compare a behavior/category-led seed audience against broad interest, with equal budgets and holdout measurement. Use full-price product, fit and quality messages. Evaluate new-customer CAC plus 90-day contribution after returns, not clicks or first-order AOV. Allocate 20% of test budget to broad discovery to reduce overfitting. Risk: seed shoppers may be expensive to reach and less representative than the broad market.

When either strategic scenario is confirmed

If prospective controlled tests show full-price repurchase and contribution are preserved, expand the sunset in stages while monitoring sales. If removing discounts reduces contribution or breaches the revenue guardrail, retain targeted offers and invest in service/product value; investigate which customers and categories exhibit a measured incremental response. Neither scenario is established by the current snapshot.